IQ Security Fund

February 2026

Algorithmic trading

Basket 50 strategy

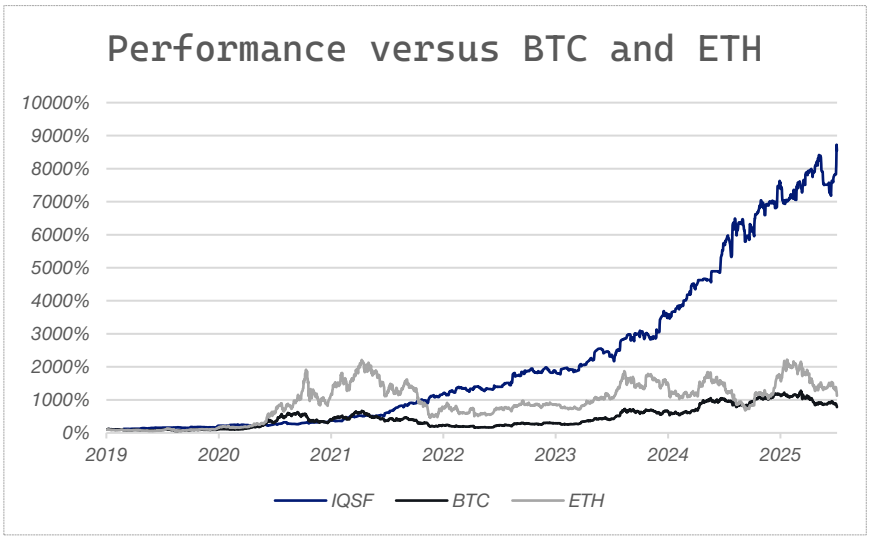
IQSF Fund's objective is to develop capital-intensive strategies.
IQSF Basket 50 strategy is a portfolio of several strategies based on the momentum effect and mean reversion approach, which allows for increased efficiency in the portfolio. This strategy is primarily structured to capitalize on short-term market movements and has performed exceptionally well in the 1st half of 2025 amid more frequent market pullbacks.
The effectiveness of IQSF strategies is evidenced by their consistent performance over time, across different market cycles, including bull markets, bear markets and periods of sideways movement. Our track record represents our ability to generate alpha independently of general market movements.

Performance 2019-2026

Year	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	CAGR
2019								7,49	13,37	4,03	14,68	3,42	166,12
2020	6,04	2,07	-0,02	11,02	-0,57	-4,58	28,37	-1,32	13,80	-3,16	-7,54	12,69	65,8
2021	7,90	18,36	-15,05	11,02	4,85	9,05	7,70	-2,19	31,51	11,06	0,19	-1,86	108,33
2022	18,41	24,45	11,50	4,77	10,31	16,02	3,95	5,25	8,36	-1,91	-0,69	0,57	155,87
2023	5,07	8,32	15,17	7,27	-2,72	8,28	-4,73	4,56	-5,46	11,47	6,16	14,87	89,61
2024	-7,82	20,32	5,93	-1,93	-0,42	5,36	14,61	10,02	6,03	9,68	4,22	5,15	94,25
2025	17,17	10,47	2,16	-5,84	12,58	1,41	9,10	-6,22	6,60	3,90	2,70	-7,18	53,54
2026	13,69												13,69

Verified SMA track record is available at GenieAI. Represents data with unrealized pnl
https://allo.genieai.tech/strategies/8c88cb8b-f17c-474b-8ca5-6fc038d7dbba

Cumulative Return	8444,30 %
CAGR	98,19 %
Expected Monthly	5,87 %
Max Drawdown	-19,99 %
Max daily Drawdown	-14,58 %
Avg. Drawdown	- 4,47 %
Largest Drawdown	108 days
Volatility	30,79 %
Sharpe	3,19
Sortino	5,86
Calmar	4,91



Trading logic summary

Strategy is focused on trading local trends, spikes in volatility and return to the average value on highly liquid instruments.
Each trade is followed by fixed risk. Unprofitable positions are not averaged, while profitable positions can be increased through pyramiding. The system works effectively for both long and short. However, each trade is always opened in only one side.
Strong market movements are not scary. Most often, the strategy earns from them. IQSF takes a prudent approach to trading. The absence of trades, particularly during periods of pronounced market volatility and strong price movements, is a deliberate aspect of IQSF strategy. The significant stop-loss (SL) sizes required to maintain our stipulated risk-reward ratios under such conditions render entry less viable. Given the rarity of sustained, strong trending movements and the potential for substantial retracement before large take-profit (TP) targets are hit, our algorithms opt for prudence. This approach is informed by historical analysis and our commitment to preserving capital and ensuring long-term profitability.

Key parameters

Trading assets	Position holding period	Stop-losses (fixed risk)	Fully automated	Trades per month	Capacity	AUM	Indicated performance
BTC & ETH perpetual futures	< 3 days	Yes	Yes	0 - 40	$200 mln	$87 mln	gross

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Technology

Trading edge

This is not an HFT, machine learning is not used. The edge of most systems is based on the momentum effect, which is well researched and used by many top funds.

Execution module

The market entry is performed by market orders or limit orders depending on market indicators. It is possible to use the high-speed TWAP algorithm when entering a position for market orders of a large volume.

Data & Back Testing

Each component of each system was thoroughly tested many times on different markets. Each was shown to have good results in both live trading and backtesting on FORTS, Forex, commodities, and crypto over more than a decade. The system may be optimized on Binance BTC/USDT data, but it should still be profitable on data from other exchanges, as well as data of similar trading pairs. Monte Carlo simulations are also used as an auxiliary tool.

Risk management

Strategy Risk Management

- A reliable system, the main components of which remain unchanged for more than 12 years.
- Regular back testing and simulations through all kind of stress trading environments
- Live trading on crypto market with track record more than 5 years
- There is always a fixed risk per trade, the use of stop losses and take profits, which take into account the level of market volatility

Exchange Risk Management

- The ability to trade with risk on capital (not only risk on deposit)
- Robust API integration and usage of our own software
- 24/7 monitoring of the operation of systems (both automatically by the system and by a human)
- The ability to trade on different exchanges

Investment Terms

Minimum Investment	*$300,000 USD*
High Water Mark	*Yes*
Fee Structure	*2% Management Fee* *25-30% Performance Fee*
Lock-up Period	*None*
Performance fee distribution	*Quarterly*
Investment form	*SMA*
Futures Collateral tokens	*USDT / BTC / ETH* *(or any token for Portfolio Margin account)*

Exchanges

BINANCE Bitget OKX BYBIT kraken KUCOIN Bingx

*Additional exchanges will be connected over time